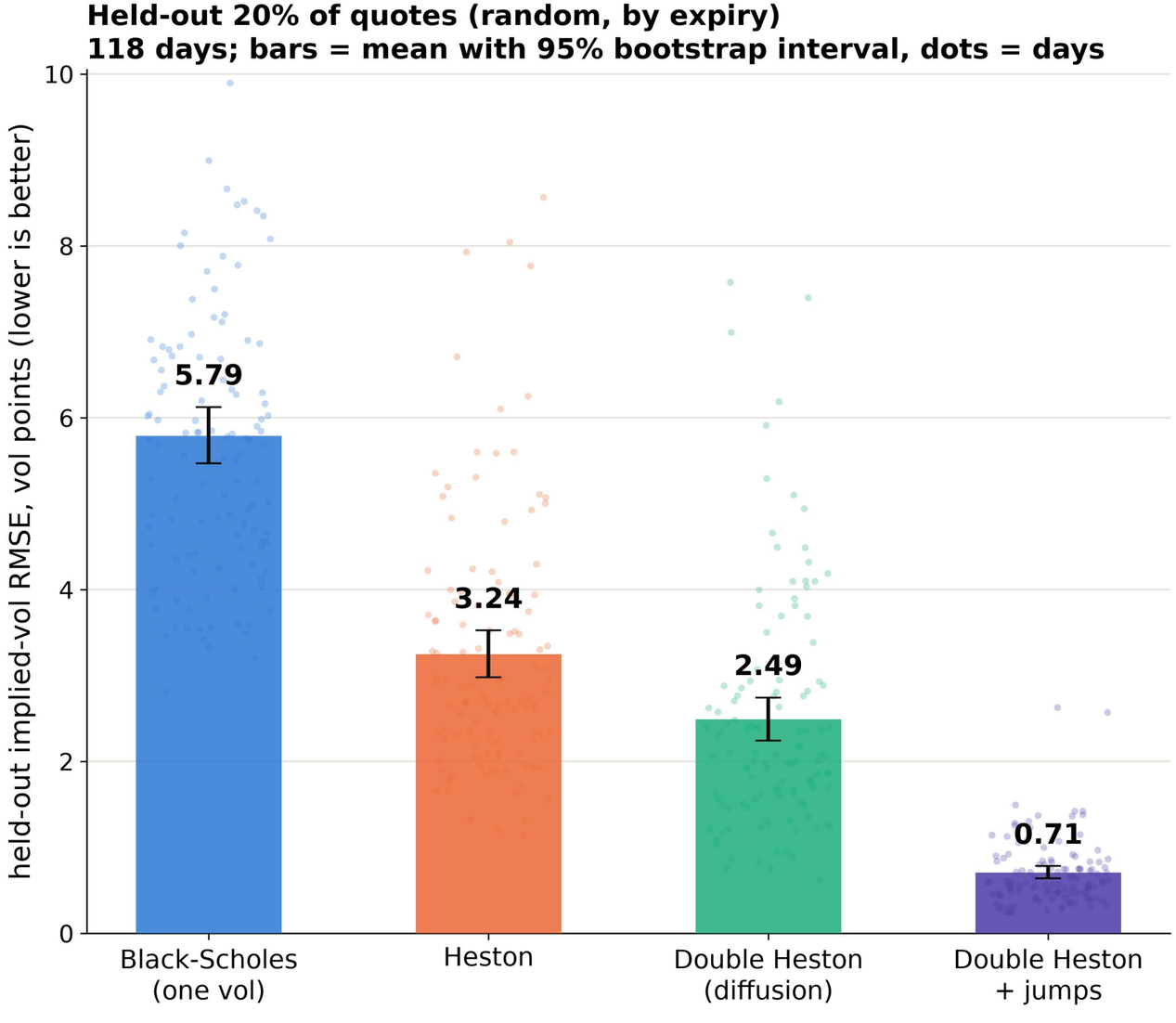
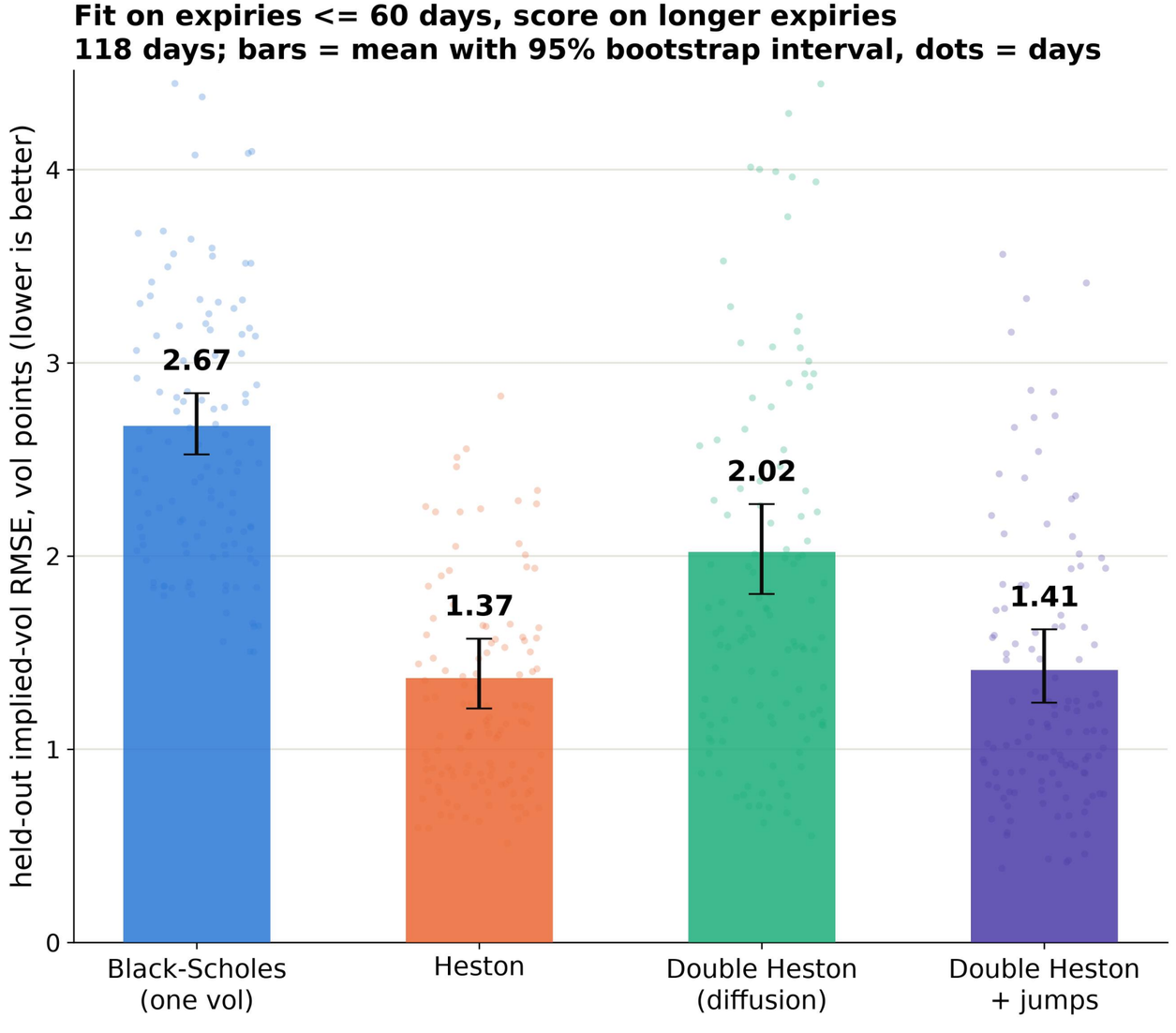

Held-out 20% of quotes (random, by expiry)
118 days; bars = mean with 95% bootstrap interval, dots = days
held-out implied-vol RMSE, vol points (lower is better)
0
2
4
6
8
10
5.79
3.24
2.49
0.71
Black-Scholes (one vol)
Heston
Double Heston (diffusion)
Double Heston + jumps


Fit on expiries <= 60 days, score on longer expiries
118 days; bars = mean with 95% bootstrap interval, dots = days
held-out implied-vol RMSE, vol points (lower is better)
0
1
2
3
4
2.67
1.37
2.02
1.41
Black-Scholes (one vol)
Heston
Double Heston (diffusion)
Double Heston + jumps